Journal Entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Senthamari's capital A/c (18,000 × 2/3)	Dr.		12,000	
	Raj's capital A/c (18,000 × 1/3)	Dr.		6,000	
	To Suresh's capital A/c				18,000
	(Suresh's share of goodwill adjusted)				

6.6.1 Existing goodwill

If goodwill already appears in the balance sheet, at the time of retirement if the partners decide, it can be written off by transferring it to all the partners' capital account / current account in the old profit sharing ratio. The following journal entry is to be passed:

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	All partners' capital / current A/c (in old ratio)	Dr.		xxx	
	To Goodwill A/c				xxx
	(Existing goodwill written off)				

Illustration 13

Naresh, Mani and Muthu are partners in a firm sharing profits and losses in the ratio of 2:2:1. On 31st March 2019, Muthu retires from the firm. On the date of Muthu's retirement, goodwill appeared in the books of the firm at ₹ 40,000. By assuming fluctuating capital method, pass the necessary journal entry if the partners decide to

(a) write off the entire amount of existing goodwill

(b) write off half of the amount of existing goodwill.

Solution

(a) Write off the entire amount of existing goodwill

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2019	Naresh's capital A/c (40,000 × 2/5)	Dr.		16,000	
March 31	Mani's capital A/c (40,000 × 2/5)	Dr.		16,000	
	Muthu's capital A/c (40,000 × 1/5)	Dr.		8,000	
	To Goodwill A/c				40,000
	(Existing goodwill written off)				

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